

Done!



Cambridge International Examinations
Cambridge International Advanced Level

ECONOMICS

Paper 3 Multiple Choice (Supplement)

9708/32

October/November 2014

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)



READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.
DO NOT WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.

Larak Mushtaq

Solved with Reasons!

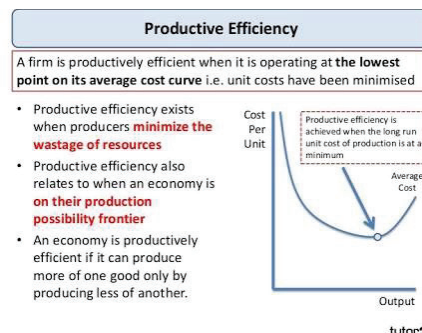


This document consists of **12** printed pages.

★ In economics, productive efficiency is a situation in which an economy is not able to produce any more of one good without reducing the production of another good. The concept of productive efficiency can be shown on a production possibility frontier (PPF), where all points on the curve are productively efficient.

2

- 1 Which condition defines productive efficiency?
 - A All factors of production are fully employed.
 - B All firms are producing at their profit-maximising levels of output.
 - C There are no further opportunities for substituting capital for labour.
 - ☒ D The output of all goods is produced at the lowest possible cost.



- 2 A household makes the following purchases of fruit.

fruit	quantity purchased (kg)	price per kg (\$)	MU
bananas	5	1.00	1
apples	10	0.50	2

The household derives twice as much utility from the tenth kg of apples as from the fifth kg of bananas.

What should the household do to maximise utility from the purchase of these fruits?

	purchase of bananas	purchase of apples
☒ A	decrease	increase
B	increase	decrease
C	increase	increase
D	no change	no change

* Twice as much utility of apples as of bananas

$$\frac{MU_B}{P_B} = \frac{MU_A}{P_A}$$

$$\frac{1}{1} = \frac{2}{0.5}$$

$$1 = 4$$

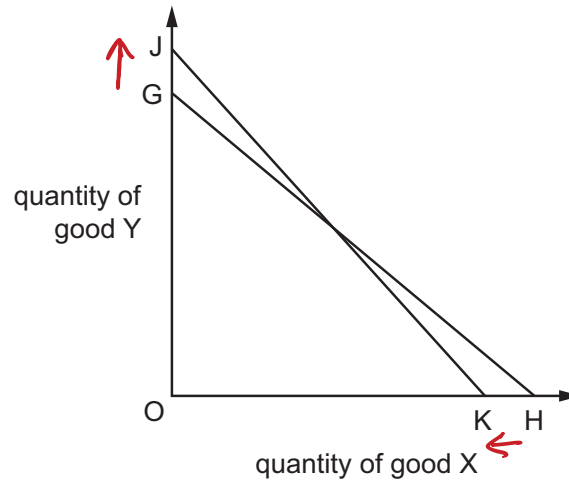
less utility per price

more utility per price

↓
less of bananas being purchased

↓
more of apples being purchased

- 3 In the diagram a consumer's budget line shifts from GH to JK.



Which statement must be correct?

- A There has been an increase in the consumer's real income. (Shift)
 B There has been a decrease in the consumer's real income. (Shift)
 C Good Y has become relatively more expensive. (It's Qty is increased) (wrong)
 ✓ D Good X has become relatively more expensive. [Price of good Y ↓ relative to good X]
- 4 A worker is considering accepting a job she has been offered. She draws up a list of the annual monetary values she places on the advantages and disadvantages of the job.

advantages and disadvantages of the job	value (\$)
income	750
dangerous working conditions	500
long working hours	250
high prestige of the job	200
cost of providing own uniform	150
opportunity for travel	100
short holidays	50

What can be concluded from the table?

- ✓ A She values the Financial advantages more highly than the Non-financial advantages.
 B She would take the job even if it had none of the non-pecuniary advantages. (No)
 C The job has no pecuniary disadvantages. (Wrong)
 D The non-pecuniary advantages outweigh the non-pecuniary disadvantages. (No)

$$\text{Total cost}_{101} - \text{Total cost}_{100} \\ (101 \times 502) - (100 \times 500) \Rightarrow \$702$$

4

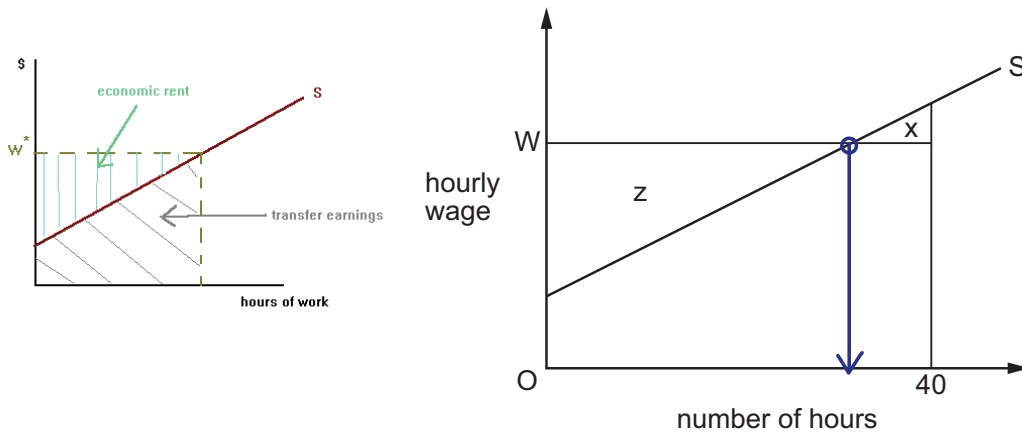
- 5 To increase its labour force from 100 to 101 workers, a firm has to increase its daily wage from \$500 to \$502.

Additional

What is the marginal cost of labour per day?

- A \$2 B \$200 C \$202 ☒ D \$702

- 6 The diagram shows an individual worker's supply curve of labour.



Economic Rent and Transfer Earnings

- A person stays in a job depending on the economic rent and transfer earnings
- Transfer earnings** = the minimum payment needed to keep a worker in work (min payment needed to keep a factor of production in its present use)
- Economic rent** = the payment to the factor (worker) over and above its transfer earnings in the long run

The hourly wage is W and the worker is required to work a standard 40-hour week.

Which area measures the net improvement in the worker's welfare if he were allowed to choose the number of hours he wished to work per week?

- ☒ A x B z - x C z + x D z

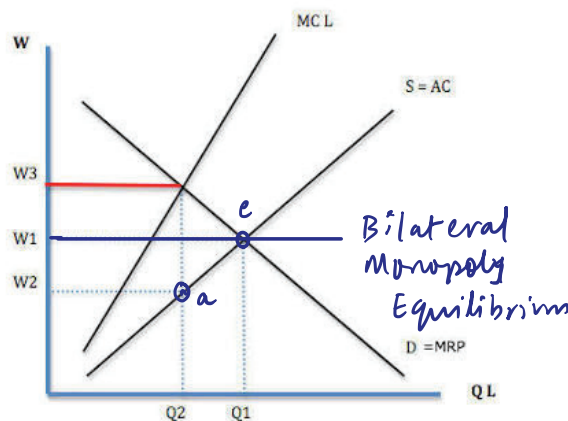
- 7 A firm's workers join a trade union which negotiates an increase in the workers' wage rate.

The increase in the wage rate results in an increase in the number employed by the firm.

What could explain this?

- A The demand for the firm's product is price-elastic. (wages ↑, cost ↑, prices ↑, revenue ↓, Demand for Labour ↓)
- ☒ B The firm is a monopsonist within its local labour market. (Bilateral Monopoly condition)
- C The firm operates in a perfectly competitive labour market. (Trade union doesn't exist)
- D There is a high degree of substitutability between capital and labour. (wages ↑ D_L ↓)

Wage and Employment, both increases!



a:- Monopsony Equilibrium

'a' to 'e' ⇒ wages ↑
Employment ↑

- 8 The table below shows the relationship between total output and total costs of production, assuming constant factor prices and fixed factor proportions.

$$\text{Average cost} = \frac{\text{Total cost}}{\text{Output}}$$

AC↓ :- Economies of scale

AC↑ :- Diseconomies of scale

output	costs (\$)
100	100
200	160
300	180
400	320
500	500

Average cost

1
0.8
0.6
0.8
1

AC↓, EOS

AC↑, DEOS

It follows that, over this range of output, the firm experiences

- A decreasing returns for output between 100 and 300 and increasing returns for output larger than 300.
- ☒ B ^{EOS} increasing returns for output between 100 and 300 and ^{DEOS} decreasing returns for output larger than 300.
- C decreasing returns throughout.
- D increasing returns throughout.
- 9 In 2009, the United Kingdom's largest grocery supermarket, Tesco plc, created Tesco Bank offering a range of financial services to customers.

This is an example of

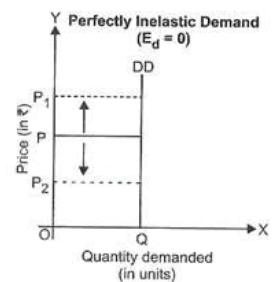
- A external growth and horizontal merger.
- B external growth and vertical merger.
- ☒ C internal growth and diversification.
- D internal growth and market concentration.

★ Organic growth is also known as internal growth. It happens when a business expands its own operations rather than relying on takeovers and mergers. Organic growth can come about from: Increasing existing production capacity through investment in new capital & technology. Development & launch of new products.

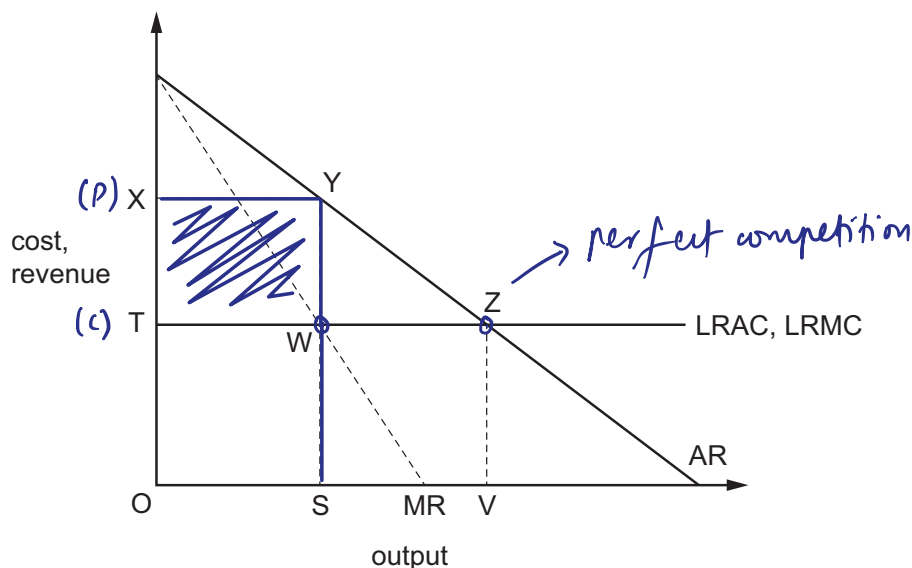
★ Diversification is a corporate strategy to enter into a new market or industry in which the business doesn't currently operate, while also creating a new product for that new market.

- 10 The price elasticity of demand for a firm's product is zero. (Perfectly inelastic demand)
- What will be the effect on the firm's revenue if it reduces its price by 5%? Prices ↓ Qty - TR ↓

- A Its revenue will be unchanged. (Unitary demand)
- ☒ B Its revenue will decrease by 5%. (Perfectly inelastic demand)
- C Its revenue will increase by 5%.
- D Its revenue will fall to zero.



- 11 The diagram shows an industry producing under conditions of constant average costs.



Under perfect competition, the industry produces output OV.

Qty ↓, Price ↑ (MC = MR)

Which area measures the increase in the industry's profits if it were to become a monopoly?

- A XYSO ~~B~~ XYWT C XYZT D YZW

Qty ↓, Price ↑

- 12 When is collusion likely to be successful in an oligopolistic market?

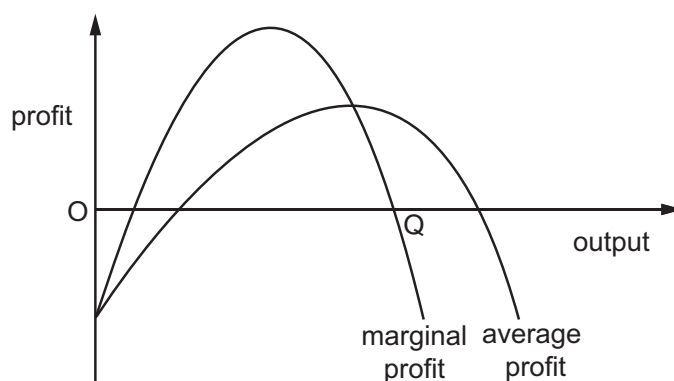
- A Barriers to entry are relatively low. *(Firms can enter)*
~~B~~ Firms have accurate information about each other's output levels. *[No cheater]*
 C There are significant differences in the firms' costs of production. *(They won't collude)*
 D There are significant fluctuations in demand from one period to another. *(They won't collude)*

★ Firms in an oligopoly may collude to set a price or output level for a market in order to maximize industry profits. At an extreme, the colluding firms can act as a monopoly.

★ An oligopoly is a market structure in which a few firms dominate. When a market is shared between a few firms, it is said to be highly concentrated. Although only a few firms dominate, it is possible that many small firms may also operate in the market.

- 13 The diagram shows how a firm's average profit and marginal profit vary at different levels of output.

- * $MP=0, TP = \max$
- * $MP=0, AP = \max$
- * marginal profit = 0
Total profit = max



If the firm produces output OQ, which statement is correct?

- A The firm is earning a zero profit.
- B The firm is making a normal profit.
- ☒ C The firm is maximising its profit.
- D The firm is producing above its profit-maximising output.

Consumer surplus, is the difference between the amount which you are willing to pay and the amount you actually pay!

- 14 A firm wishes to acquire some of the consumer surplus its customers currently enjoy.

How might it achieve this?

- ☒ A by introducing price discrimination
- B by reducing operating costs
- C by setting a price that maximises revenue
- D by taking advantage of economies of scale

Price ↓
C.S ↑

* Price discrimination, charging different prices from different customers for the same product, reasons, not associated with costs, it depends on price elasticity of demand.

- 15 A country's steel producers are members of a cartel. Each member is allocated a production quota, and initially produces the maximum allowed under its quota.

What will be the effect on total steel production and the industry's total profits of allowing the producers to trade the quotas among themselves?

	effect on production	effect on total profits
A	increase	increase ✓
B	increase	no change
☒ C	no change	increase ✓
D	no change	no change

* Quota sold by a firm will always be sold at higher price, thus higher profits

* All are members of cartel, Quota is set, same quota is sold and purchase, thus no change in production

* Min wage, Over 21 year, ↑

8

www.PapaCambridge.com expected to

- 16 The introduction of a minimum hourly wage for all workers over 21 years of age is expected to increase the average wages of these workers.

What will be the likely effect on workers under 21?

	unemployment for under 21s	average wages for under 21s
A	falls ✓	fall
☒ B	falls ✓	rise ✓
C	rises	fall
D	rises	rise ✓

* Average wage is consideration of total workers. so it will rise, as there isn't a reduction anywhere mentioned

* Min wage, wage ↑, cost ↑, Demand ↓ of over 21 years of age workers, thus firms will hire workers under '21', as their wage rate will be lower, thus unemployment ↓.

- 17 A government introduces tax incentives which promote effort and enterprise. They also redistribute income from those who receive a higher marginal utility from money to those with a lower marginal utility from money.

Incorrect re-distribution

What effect will these tax incentives have on efficiency and equity?

	efficiency	equity
A	increase	increase
☒ B	increase	reduce ✓
C	reduce	increase
D	reduce	reduce ✓

output ↑
corporation tax ↓
↓
Retained profits ↑
↓
Re-investment ↑
↓
Efficiency ↑

- 18 The diagram shows the private and social costs and the private benefits that arise as the number of car journeys into a city centre increases.

In the absence of any external benefits, which volume of traffic would maximise the community's welfare if entry could be restricted through the issue of permits?

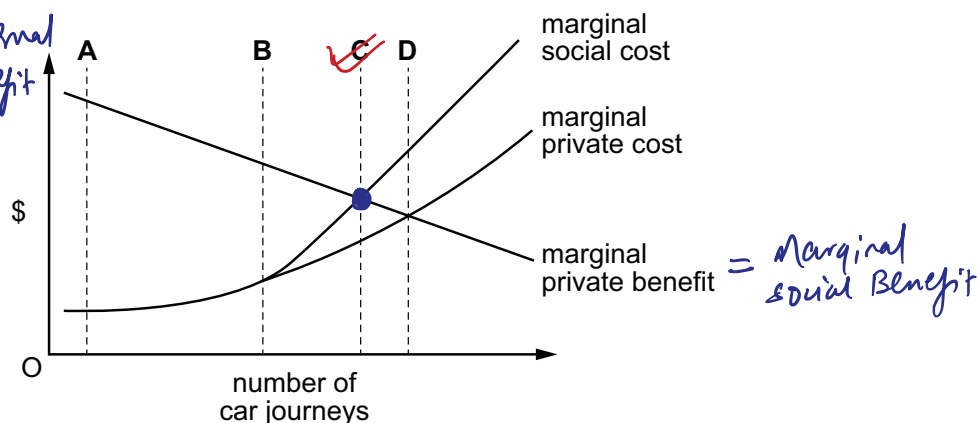
$$MSB = MSC$$

$$\text{Social Benefit} = \text{Private Benefit} + \text{External Benefit}$$

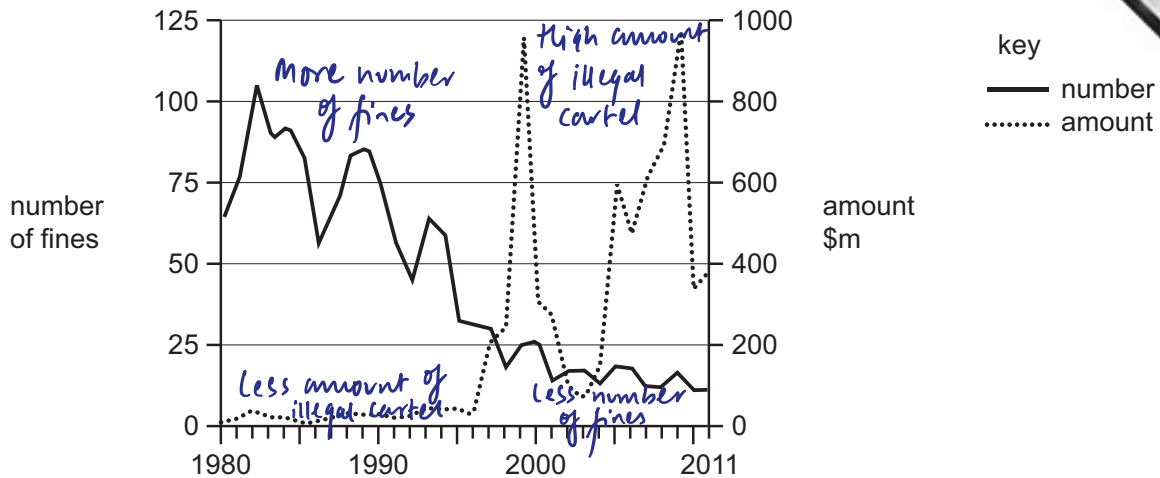
$$SB = PB + 0$$

Thus,

$$\text{Marginal Social Benefit} = \text{Marginal Private Benefit}$$



- 19 The diagram shows the number and amount of fines (\$m) imposed by the US Department of Justice for firms' illegal cartel behaviour between 1980 and 2011.



What is the most likely conclusion from the diagram about the view of the US Department of Justice of firms' cartel behaviour?

- A It believed that cartel behaviour was unimportant before 1980. (No data)
 B It believed that illegal cartel behaviour was insignificant in 2011. (Still higher)
 C It believed that increasing fines was necessary to deter cartel behaviour. (Yes) (Negative Relation)
 D It believed that the free market can regulate cartel behaviour. (No) (Fines mentioned)

- 20 During a year, a country's national income in money terms increased by 8%, total population increased by 2% and real income per head remained constant.

[To make Real GDP per head constant, price level increase by +6%]
 What was the approximate change in the average price level?

- A a decrease of 4%
 B an increase of 4%
 C an increase of 6%
 D an increase of 10%

$$\begin{aligned} \text{National income} \uparrow &= +8\% \\ \text{population} \uparrow &= +2\% \\ \hline &+6\% \end{aligned}$$

Money supply $\uparrow$

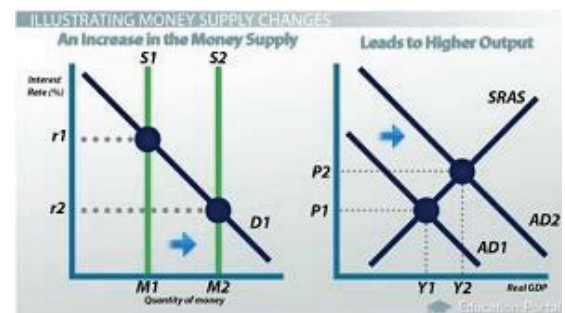
Real GDP per head :- Influenced by
 * GDP
 * population
 * Prices (inflation)
 - GDP $\uparrow$, Real GDP $\uparrow$
 - population $\uparrow$, Real GDP $\downarrow$
 - Prices $\uparrow$, Real GDP $\downarrow$

- 21 A central bank pursues a policy of quantitative easing by purchasing government securities.

What is likely to happen to interest rates and aggregate expenditure?

	interest rates	aggregate expenditure
A	fall ✓	fall
B	fall ✓	rise ✓
C	rise	fall
D	rise	rise ✓

Money Supply $\uparrow$
 $R \downarrow$
 $C \uparrow$ $I \uparrow$
 $AE \uparrow$



★ Real wages are wages adjusted for inflation, or, equivalently, wages in terms of the amount of goods and services that can be bought. This term is used in contrast to nominal wages or unadjusted wages

10

- 22 According to monetarist theory, if there is an unanticipated increase in the money supply, what will be the short-run effect on money wages, real wages and the level of employment?

	money wages	real wages	employment
A	decrease	decrease	increase
B	decrease	increase	decrease
☒ C	increase	decrease	increase
D	increase	increase	decrease

$M^s \uparrow$
 $R \downarrow$
 $C \uparrow$ $I \uparrow$
 $AD \uparrow \Rightarrow \text{prices} \uparrow$
 $\downarrow$ $\text{Real wage} \downarrow$
 $\text{Money wage} \uparrow$
 $\text{Employment} \uparrow$

$$\text{Real wage} = \frac{\text{Nominal (Money) wage \%}}{\text{Inflation \%}}$$

- 23 In a closed economy with no government $C = 40 + 0.8Y$ and $I = 60$, where C is consumption, Y is income and I is investment.

What is the equilibrium level of income?

- A 80 B 100 C 300 ☒ D 500

$$Y = C + I$$

$$Y = 40 + 0.8Y + 60$$

$$Y - 0.8Y = 100$$

$$Y(1 - 0.8) = 100$$

$$Y = \frac{1}{0.2} \times 100$$

$$Y = 5 \times 100 = 500$$

- 24 A developing economy experiences a rapid growth in labour productivity.

What is most likely to result from this? *Labour productivity $\uparrow$, cost $\downarrow$, output $\uparrow$*

- A an increase in the country's balance of trade deficit (No) (more exports, as $AS \uparrow$, prices $\downarrow$)
 B an increase in the country's relative labour costs (No) (cost $\downarrow$, labour productivity $\uparrow$, $AS \uparrow$)
 C a depreciation of the country's currency (No) (more exports) (strong currency)
☒ D an increase in real income per head (Yes) (output $\uparrow$, $AS \uparrow$, prices $\downarrow$) (inflation controlled)

- 25 Which change would cause an increase in a country's Human Development Index?

- A a decrease in gender inequality
 B a decrease in income inequality
☒ C an increase in the mean years of schooling
 D an increase in the retirement age

comprises of :-
 * Real GDP per head
 * longevity (life expectancy)
 * Education enrollment (schooling years)

** Real output $\uparrow$*

- 26 Real output in an economy grows by 2.5% but at the same time the level of employment decreases. ** Employment $\downarrow$*

What can be deduced from this information?

- A Actual output has grown more quickly than potential output. (Actual $\uparrow$, Employment $\uparrow$)
☒ B Labour productivity has increased.
 C Population of working age has fallen. (output would have fallen)
 D There has been an increase in the rate of inflation. (Real output would have not increased)

Due to Technological change,

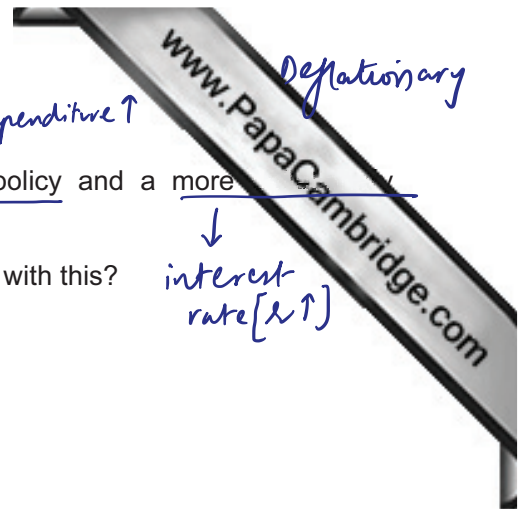
output $\uparrow$, but employment $\downarrow$.

Growth ↑

11

Tax ↓

Govt Expenditure ↑



Deflationary

- 27 A government decides to pursue a more reflationary fiscal policy and a more monetary policy.

Which combination of changes in policy instruments is consistent with this?

interest rate (↑)

	government expenditure	interest rate	taxation
A	decrease	decrease	decrease ✓
B	decrease	decrease	increase
☒ C	increase ✓	increase ✓	decrease ✓
D	increase ✓	increase ✓	increase

- 28 The table shows some indicators of macro-economic performance in the US economy for five decades.

economic target	1950s	1960s	1970s	1980s	1990s
real GDP growth (average %)	4.18	4.43	3.28	3.02	3.03
inflation (average %)	2.07	2.33	7.09	5.66	3.00
unemployment (average %)	4.51	4.78	6.22	7.27	5.76

Between which decades did the US government achieve an overall improvement in its performance with no trade-off between individual policy goals?

- A 1950s to 1960s [Real GDP ↑, inflation rate ↑, Unemployment ↑]
 B 1960s to 1970s [Real GDP ↓, inflation rate ↑, Unemployment ↑]
 C 1970s to 1980s [Real GDP ↓, inflation rate ↓, Unemployment ↑]
☒ D 1980s to 1990s [Real GDP ↑, inflation rate ↓, Unemployment ↓]

- 29 Why might a reduction in domestic interest rates have an adverse effect on a country's balance of payments on the current account?

- A It will cause a rise in the exchange rate. [£ ↓, Demand ↓, Depreciate]
 B It will make the country's industry less competitive. [£ ↓, Depreciate, x prices ↓]
☒ C The resulting higher level of economic activity is likely to increase imports.
 D There will be an outflow of capital from the country. [£ ↓, Depreciate, x prices ↓, more inflow]

£ ↓
 Depreciation
 AD ↑
 Growth ↑
 income ↑
 imports ↑

30 At present, a country's government has set its central bank a target rate of inflation of 2%.

What is likely to happen to interest rates and the exchange rate if the target inflation rate is raised to 3%?

	interest rates	exchange rate
☒ A	fall ✓	fall ✓
☐ B	fall ✓	rise
☐ C	rise	fall ✓
☐ D	rise	rise

If inflation rate target is raised from 2% to 3%,

Interest rate was kept earlier according to '2%' inflation rate,

Now inflation rate target is higher, so interest rate can be reduced, to increase output.

* $R \downarrow, C \uparrow, I \uparrow, \text{output} \uparrow, AD \uparrow, \text{inflation} \uparrow$
 $\downarrow$

Demand $\downarrow$
 $\downarrow$
 $\Rightarrow$ Exchange rate $\downarrow$ i.e. Depreciate!
 Supply $\uparrow$

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Question 19
 Question 28

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